

ability to change businesses which the ordinary man in a particular business does not. This is one of the things that makes our business so unnatural, but also, strangely, very satisfying too. So fascinating is our business that we have difficulty holding very good men because a man who can fairly consistently on balance make substantial money in securities is rare and he is coveted by the whole world. One of the things that may hold him, I think, is the fascination of the business of investing and the universality of it. The stock market represents everything that anybody has ever hoped, feared, hated, or loved. It is all of life. You leave that and you go to the XYZ Bottling Co. and the rest of your life is bottles.

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*Crowds, when they carry often sound ideas to foolish extremes, tend to commit suicide.*

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Now, this emotional involvement is, I think, one of the things we combat by being contrary. This is, we go contrary to the deep instinct in everybody which wants to stand by the ship and fight through to the finish, so to speak. To paraphrase a famous statesman talking about nations, we have no loyalties or friends, only interests. Maybe this contrary element in our business contributes to its fascination, and it's often tough on the families at home because we in the business love it so much that we are apt to work unreasonably long hours.

Back to Contrary Opinion: Why does it pay to be contrary? Let's take the 1920's as an extreme example of how it works in the stock market. In 1929 nearly everybody who could had bought all the stocks he and his borrowing power could absorb, and in those days there were lots of 5% margins around. You had probably a very extreme example of a universal opinion that stocks were going up. Therefore, you had a nation jammed with potential sellers. The buying had all for the moment been done and way overdone. The panic